fundstrat

Fundstrat Global Advisors
150 East 52nd St., 31st Floor
New York, NY 10022

September 26, 2018

CRYPTO TA STRATEGY: Waiting for Godot –The importance of the September highs

- **Déjà vu all over again** – Similar to BTC's early September rally, last week's bounce failed at first resistance between a 50-62% retracement of its prior rally while most Alts failed to rally above their September highs. Despite last week's volatility, the technical backdrop has not materially changed leaving BTC in an increasingly compressed trading ranged above key support between 5800-6000 while the majority of Alts remain in established downtrends. However, tighter trading ranges provide tighter technical levels to signal a trend shift and manage risk.
- **Now what? The September highs remain an important upside technical threshold** – Given the technical damage that has developed in 2018, we expect most cryptocurrencies will likely require months of repair before a new bullish trend can develop. This is consistent with post bear market behavior that has developed in other asset classes following bear markets. While the technical backdrop for most cryptocurrencies remains fragile we continue to view the divergence between many Alts holding above their summer lows versus ETH's as an encouraging silver lining. ***A move above the September highs is needed to signal the first positive step that more durable bottoming process and potential uptrend is developing.***
- **Positive near-term trading view -** For short-term traders, our near-term expectation is that cryptocurrencies will attempt to challenge the September highs given this week's pullbacks are again oversold on a 4-hour basis.
- **BTC's** trading range continues to narrow above critical support between 5800-6000 with first resistance at the September highs near 6840. To signal a longer-term trend reversal BTC will need to rally through its 7500-8500 resistance band. A break below 5800-6000 support would likely to see a quick move down to, and likely break of, support to ~5000 with risk to 3500—4000. Our expectation is BTC will continue to hold 6000 support to challenge 7500-8500 resistance by year-end. Slide 6-8
- **Alts - More positive divergences developing** – Last week's note highlighted the positive divergence developing between many Alts holding their summer lows versus ETH. We continue to view the recent divergence as a near-term positive and contrast the recent price behavior of **ETH** and **BCH** at lower lows with **EOS**, **XLM**, **LTC** and **TRON** holding August lows. Key levels for each token are highlighted on slides 10-16. **EOS** is noteworthy given it's relative performance to BTC is on the verge of pushing above a key threshold at 221.7 supporting an overweight position. A move above 6.65 should support a move to 9.39.

FS CryptoFX Indices and A/D line highlights

- **A-D lines -** A move above the September highs is needed to signal a positive trend reversal across our FS CryptoFX A-D lines. Slide 3-4
- **Potential Size shift pending** – A move above the September relative performance highs of our FS CryptoFX 250 Small-cap index versus FS CryptoFX 10 Large-cap index would be the first signal a shift in risk appetite toward smaller Alts is developing since peaking in May**.** Slide 5-6

CRYPTO TA STRATEGY

Technical Strategy
Rob Sluymer, CFA[AC]
+1 212 293 7135
robert.sluymer@fundstrat.com | @rsluymer

US Portfolio Strategy
Thomas J. Lee, CFA
+1 212 293 7131
thomas@fundstrat.com | @fundstrat

Data Science Research
Sam Doctor
+1 212 293 7132
sam.doctor@fundstrat.com | @fundstratQuant

Washington Policy Strategy
L. Thomas Block
+1 212 293 7130
tom.block@fundstrat.com | @TomBlock_FS

EOS vs BTC approaching an important reversal level



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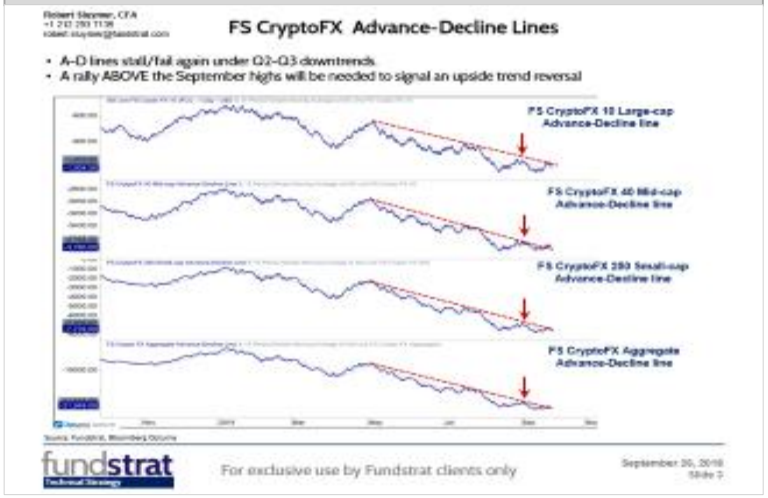
Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Key charts in this report…

Potential Size shift developing between Small and Large



September highs remain a key threshold for A-D lines



Key levels for BTC



EOS's relative performance vs BTC near a reversal level

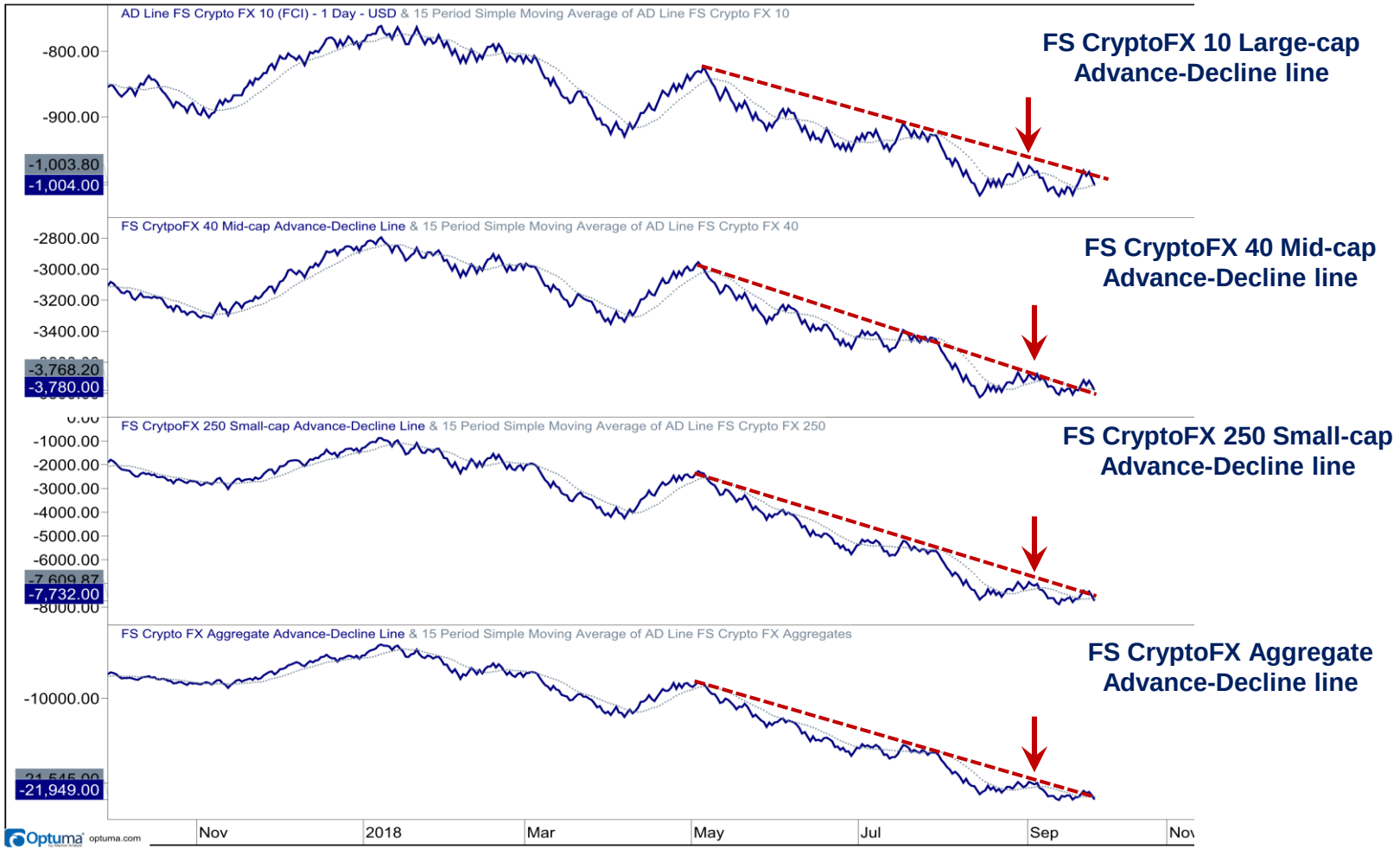


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Advance-Decline Lines

- A-D lines stall/fail again under Q2-Q3 downtrends.
- A rally ABOVE the September highs will be needed to signal an upside trend reversal

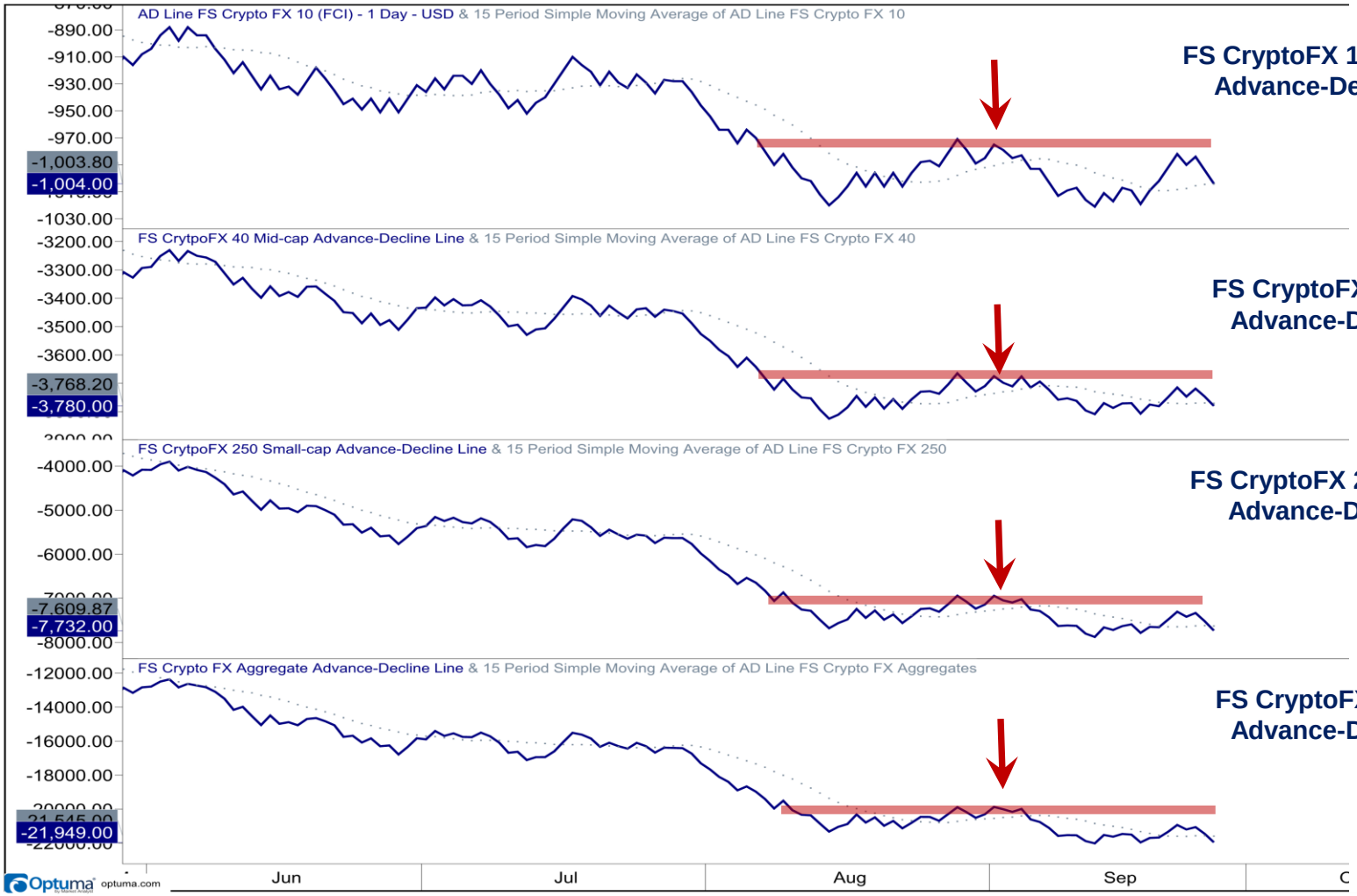


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Advance-Decline Lines – Short-term

- Downtrends intact with a move ABOVE the September highs required to signal a trend reversal



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX 10 – Large-cap Index

- Downtrend intact with a move ABOVE the September highs near 135 needed to signal to signal a potential trend shift



September highs remain first key upside reversal level

RSI neutral

FX 10 Large-cap uptrend intact

A break BELOW the September lows is needed to signal a more bullish shift toward small caps.

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX 250 Small-cap Index

- Downtrend intact probing new near-term lows with a move above the 15-dma needed to signal a short-term trend reversal.



- Downtrend remains intact and

Daily RSI

FX 250 Small-cap Index vs FX 10 Large-cap Index

Early signs of positive divergence as relative performance is not following price to new lows.

A move above the September highs would be a positive trend reversal signal.

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

BTC – Downtrend intact, price profile' remains weak. Stress-test of 2018 lows at risk of breaking to the downside

- 2018 downtrend intact with a move above the resistance band between 7500-8500 required to signal an upside trend reversal.
- BTC's weak technical profile remains fragile/weak with a break below 5800-6000 support likely to see a test of next support at 4935 with next support at 3500-4000.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin – BTC - Daily

- BTC remains trendless with a resolution of its narrowing trading range likely in late November/December.
- Important support remains between 5800-6000 with an upside move above its 7500-8500 needed to signal a positive trend shift developing. A break below 5800 would like see a quick break to next support at 5000.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin – BTC – 4-hour –4-month perspective

1) **Price profile remains weak/fragile** with yet another bounce failing at a 50%-62% retracement of the prior correction.
2) Trading resistance remains near 6800 (red horizontal band) with key trading support 6100-6200.

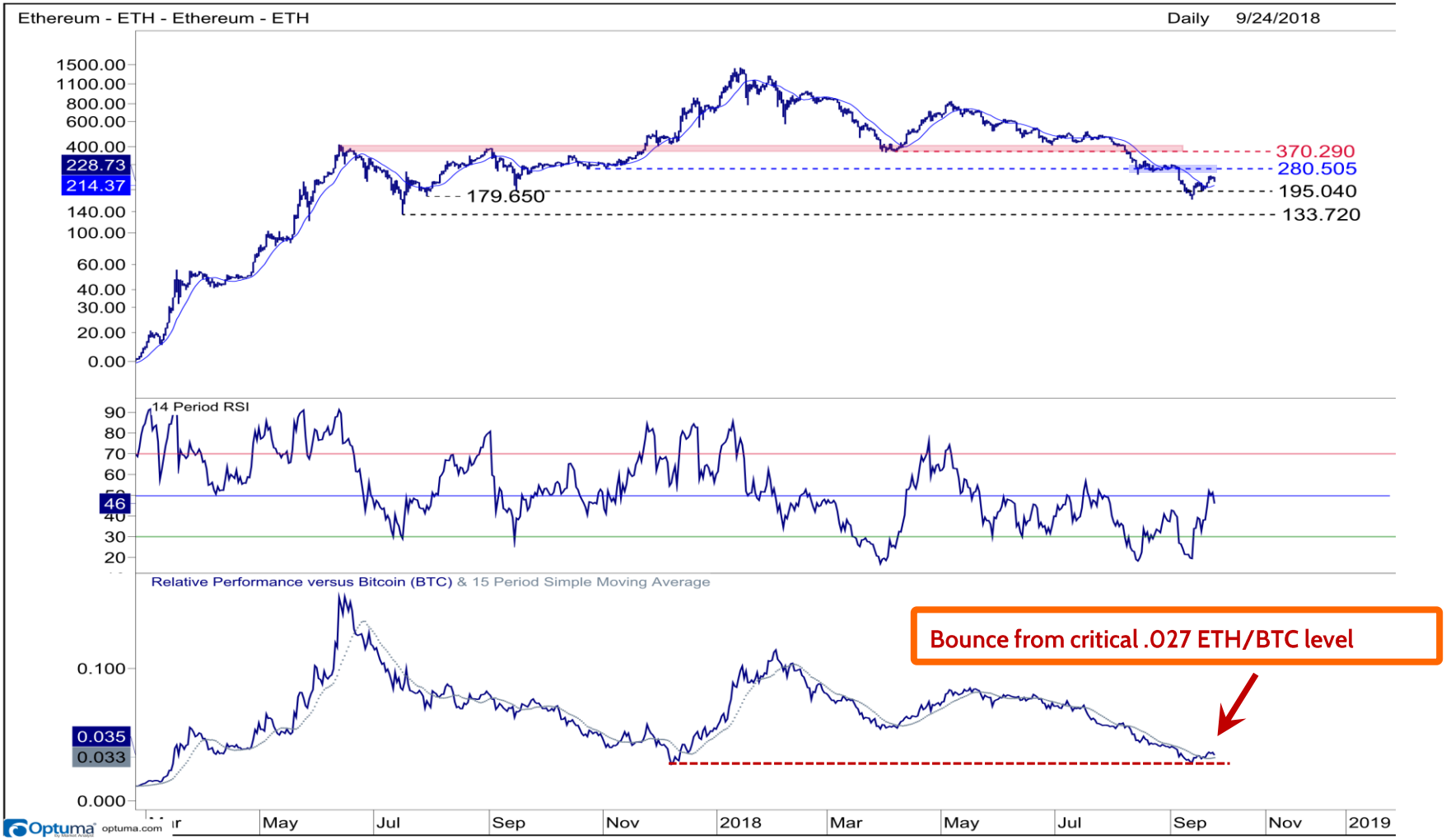


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Ethereum – Daily

- **Downtrend intact** - We see no meaningful evidence (yet) to suggest ETH's downtrend is reversing after completing a major top profile breaking below 370. Major resistance remains at 250-280.
- Silver Lining: ETHBTC (bottom panel) has held/bounced from critical support at its December lows of .027 and RSI (center panel) is oversold

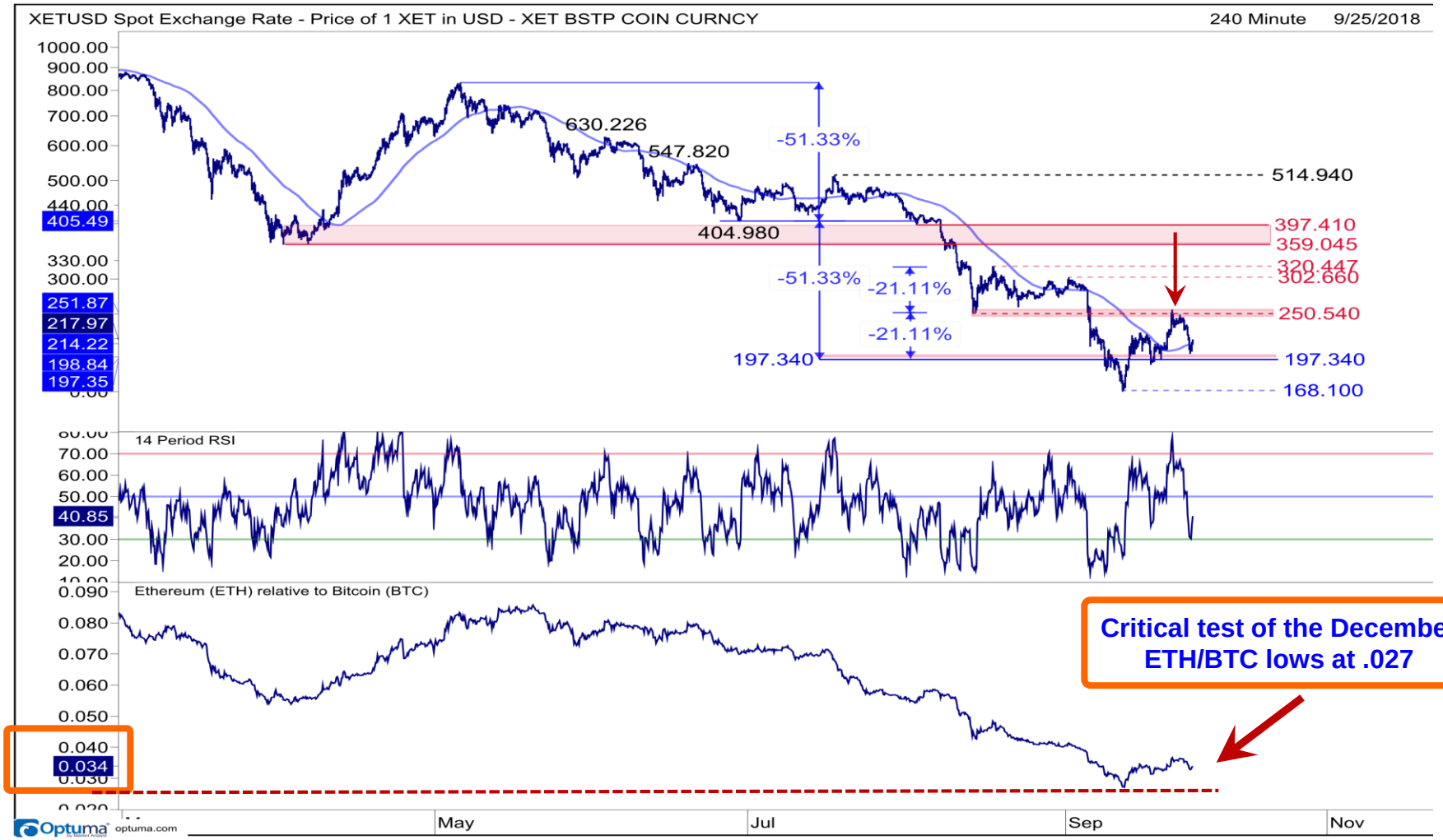


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Ethereum – 4-hour

- 250-280 remains overhead resistance with a move above 250 needed to signal the first indication of a bottom and positive trend shift developing



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin Cash – 4-hour

- Downtrend intact with 510 followed by 650 key upside reversal levels.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

EOS – EOS

- EOS remains noteworthy holding its Q2 lows AND September lows.
- Once again, a move above the September highs at 6.65 would signal a positive trend reversal.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Stellar – XLM

- XLM notably diverging from other Alts having rallied above its May highs but stalling at pausing stalling at its Q2-Q3 downtrend.
- .241 now key support at XLM's 23.6% retracement

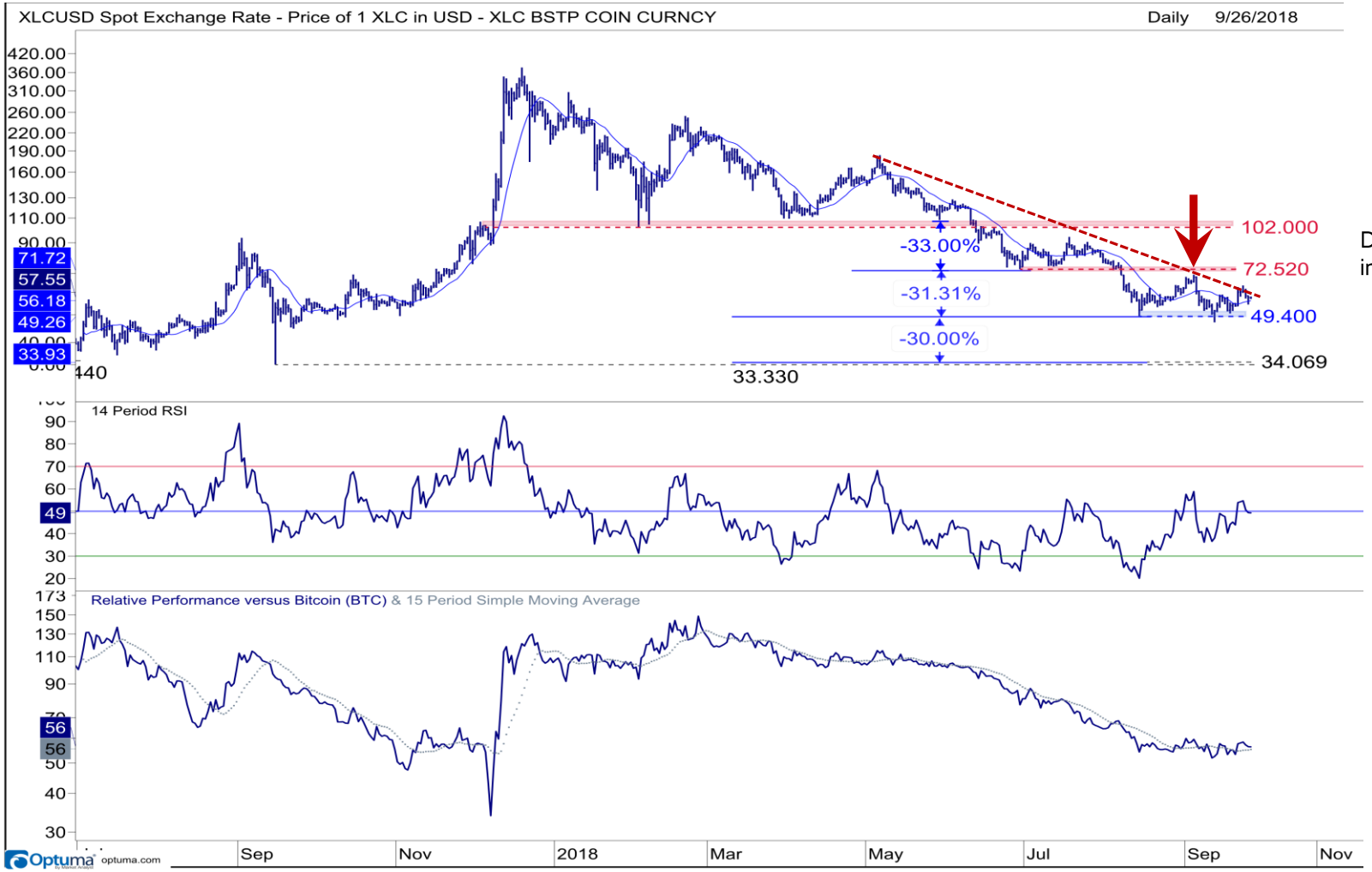


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Litecoin – Daily

- Similar to many Alts, LTC's downtrend remains intact with a move above the September highs near 72.5 needed to signal a trend shift.
- A break below support at 49 would likely see a decline to next support at 34.



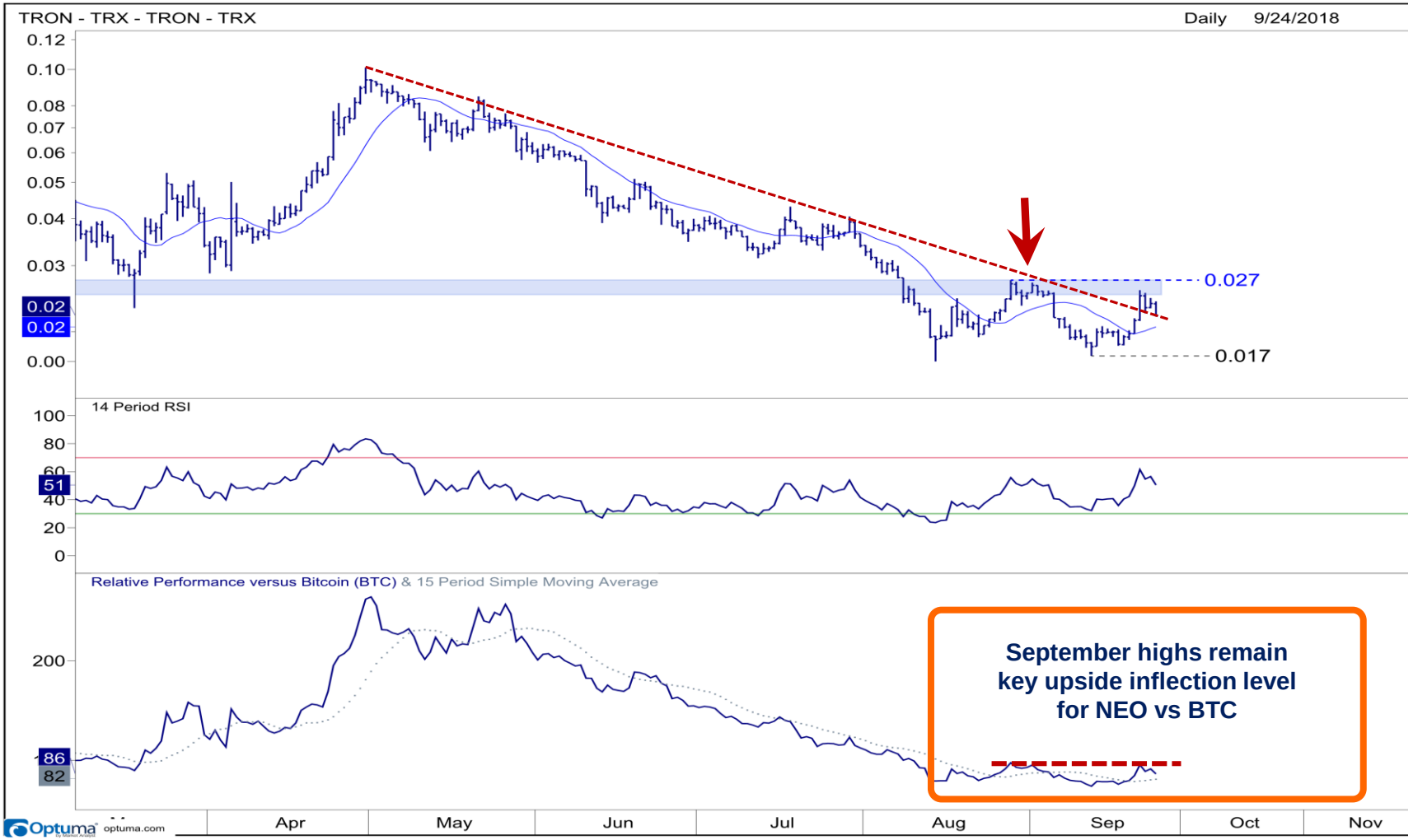
Downtrend intact

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

TRON – TRX

- Similar to many Alts, the September highs at .027 remains a key upside reversal level



Source: Fundstrat, Bloomberg Optuma

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